ENERGY / OIL & GAS · LSE: SHEL **VALUATION DISCONNECT**

SHEL: Shell plc

Compressed Valuation · Fundamental Acceleration · Elite Capital Returns

LTM P/E	NTM P/E	NTM EV/EBITDA	NTM MC/FCF
13.19x	7.98x	4.05x	7.62x
Historical	Deep compression	Cash flow value	Deep undervaluation

Value Rank	Growth Rank	Fwd 2Y EPS CAGR	Div. Yield
66/100	71/100	+23.8%	3.7%
Top 20% in EU universe	Top 20% in EU universe	Forward estimate	44.8% payout ratio

THE QUANTITATIVE CASE FOR SHELL

Shell plc (SHEL) sits firmly in the top quintile of our European coverage universe with a robust quantitative balance — **Growth Score 71/100, Value Score 66/100**. Despite a strong market performance of **+28.5% annual return**, our quantitative models indicate a significant disconnect between the current compressed valuation and an imminent fundamental acceleration for the current fiscal cycle. The thesis relies on strong operational efficiency and Shell's demonstrated ability to generate exceptional returns while the market over-discounts past cyclical headwinds.

1 · Valuation Analysis — The Fundamental Discount

Shell's multiples highlight a marked fundamental discount relative to both operating cash flows and book value.

- ■ **Earnings Compression:** LTM P/E of 13.19x experiencing a drastic compression to **NTM P/E of just 7.98x** — reflecting strong EPS growth expectations net of previous impairments.
- ■ **Cash Flow Undervaluation:** NTM EV/EBITDA of **4.05x** and NTM MC/FCF of **7.62x** confirm deep undervaluation relative to cash generation capacity. NTM EV/Revenues of 0.89x underscores inherent operational efficiency.
- ■ **Book & Yield Support:** LTM P/BV of **1.37x** offers a solid balance sheet anchor, complemented by a **3.7% Dividend Yield** underpinned by a sustainable 44.8% payout ratio.

2 · Growth Profile — From Contraction to Structural Turnaround

Following a three-year period of contraction linked to global macroeconomic cyclicality — evidenced by negative 3-year CAGRs for Revenue (-11.2%), EBITDA (-12.7%), and EPS (-16.6%) — forward estimates point to a vigorous and structural reversal.

- ■ **Revenue Recovery:** Forward 2-Year Revenue CAGR projected at a steady **+6.1%**.
- ■ **EBITDA Expansion:** Forward 2-Year EBITDA CAGR expected at **+8.2%**, driven by operating margin recovery across core divisions.
- ■ **EPS Explosion:** Forward 2-Year EPS CAGR of **+23.8%** — the most striking data point in the model, justifying the high Growth Score. In the near term, Normalised EPS is estimated to jump from 3.15 to **5.45 (+72.9% YoY)** by end of the current fiscal year.

3 · Profitability & Efficiency — Best-in-Class Capital Returns

Shell's industrial efficiency consolidates the investment thesis, displaying capital return metrics that rank at the top of its category.

- **Profit Margins:** LTM Gross Margin of **25.9%** reflected in an LTM EBIT Margin of 11.5% — solid for an integrated oil major.
- **ROE Step-Change:** LTM ROE of 10.7% projected to expand strongly to **16.78%** by current year-end estimates — a structural re-rating catalyst.
- **ROIC & ROCE:** LTM ROIC of **11.7%** and ROCE of **10.7%** confirm the business generates economic value significantly above the cost of capital — this is not a value trap.

The Bottom Line

Shell represents a rare convergence of value and growth signals within our European universe. Trading at 7.98x NTM earnings with a +23.8% forward EPS CAGR and a structural ROE expansion from 10.7% to 16.78%, the market is arguably still pricing in the cyclical trough rather than the imminent fundamental acceleration. For institutional mandates seeking energy exposure with quantitative conviction, SHEL stands out as a high-quality compounder at a deeply undemanding valuation.